

## ITALIAN FIRMS ARE VYING FOR

### PATROL VESSELS

At least 12 advanced offshore patrol vessels for the navy and the Coast Guard

### FRIGATES

Seven stealth FREMM frigates worth Rs 4,000 crore each for the navy's Project 17A programme



### FLEET TANKER

€200 m contract signed with Fincantieri for delivery of tanker in two years



### NH-90 HELICOPTER

Sixteen anti-submarine warfare choppers for the navy



### C-27J SPARTAN

Two for the Border Security Force for rapid deployment of forces around the country

### PATROL AIRCRAFT

Italy's ATR is in the reckoning to supply medium range patrol aircraft for the navy and the Coast Guard

## THE COMPETITION COMES FROM...

- 1 RUSSIA \$10.25 bn
- 2 ISRAEL \$7.17 bn
- 3 FRANCE \$5.54 bn
- 4 THE UK \$4.92 bn
- 5 GERMANY \$3.36 bn

...and Italy comes at No. 12 with sales of \$72 m

Source: SIPRI Arms transfer database 1998-2007.

Italy's new carrier, the *Cavour*, it is because it was designed with assistance from Fincantieri which is also integrating the ship's propulsion system.

Italy has emerged as an attractive shipbuilding destination due to rapid delivery schedules, high technology and competitive costs. While accepting a new oceanographic survey vessel from Fincantieri in December 2007, Science and Technology Minister Kapil Sibal joked how it had taken his ministry three years to get the financing for a ship which took the yard just 18 months to build. The navy will get its new Italian tanker in just two years, while it took Garden Reach Shipyard 12 years to build the navy's last tanker—the *INS Aditya*.

The induction of the AW-101 will give Italy a toe-hold into the burgeoning defence aerospace market. Augusta Westland's NH-90 is a frontrunner to supply 16 Anti-Submarine Warfare (ASW) choppers for the navy, 324 light utility choppers for the air force and army, 13 ATR turbo-prop maritime patrol aircraft to the navy and coast guard and two C-27J Spartan medium transport aircraft for the Border Security Force. The company owns 40 per cent of Eurofighter which is a contender in the \$10 billion (Rs 40,000 crore) contract to supply 126 fighter

aircraft to the air force.

The entry of the Italians is not incidental. Ever since the nations decided to enhance bilateral cooperation in defence production in 2002 and inked a memorandum of understanding on defence industrial cooperation the following year, defence ties have been on a steady trot. The joint working group on defence, headed by the defence secretaries, held its seventh meeting last March.

One reason for the Italian connection is the recent policy of diversifying India's arms suppliers. Over 70 per cent of the Indian military machine is of Soviet and Russian origin with the navy almost entirely dependent on Russian

weaponry for its warships, submarines and aircraft. A troublesome relationship, particularly over the acquisition of spares has left the armed forces keen on alternate sources. "Overall it is best to diversify the supplier base and enter into technological collaboration with the best in different fields because we always face the risk of resumption of sanctions," says Brigadier Gurmeet Kanwal, director, Centre for Land Warfare Studies.

India's Defence Procurement Procedure, floated in 2005, calls for open tenders for procuring all major arms systems, transfer of technology and offsets of 30 per cent (suppliers have to procure 30 per cent of the value of their contracts from Indian industry).

"While Italy has expertise in the production of high-tech weapon systems, India brings in the great asset of manpower," says a defence official. This allows Italian majors to acquire stakes in private and public sector Indian defence industry and even setting up shop. This hasn't happened because the cap of 26 per cent Foreign Direct Investment (FDI) is not attractive enough for the Italian majors. The Government says it is only a matter of time before FDI is hiked to 49 per cent. And when that happens, the Italians would have truly arrived. ■

## ITALY ON THE GO

■ With an EU-imposed arms embargo against China, India is the largest potential arms market.

■ The Italians are front-runners in a number of aerospace and naval programmes.

■ Rapid delivery schedules, high technology and competitive costs make them attractive for tie-ups.